IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/292 & 293/CAA/2019

In

CA/143 & 144/CAA/2018

Under Section 230 to 232 of the Companies Act, 2013

In the Matter of Scheme of Arrangement (Demerger)

Between

M/s. Multi Vista Global Private Limited
(Demerged Company)

And

M/s. Nellichery Land & Properties Private Limited
(Resulting Company)

And Their Respective Shareholders and Creditors

Order delivered on 12th April 2019

CORAM:

CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For the Petitioner(s): *Mr. T.K. Bhaskar, Counsel*
Mrs. Shwetha Vasudevan, Counsel
Mr. Nirmal John, Counsel

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J)

1. Under Consideration are two Company Petition Nos. 292 & 293/CAA/2019 filed under Section 230 to 232 of the Companies Act, 2013 r/w the Companies

(Compromises, Arrangements and Amalgamations) Rules, 2016. The instant Petitions pertain to the proposed Scheme of Arrangement (Demerger) by virtue of which *M/s. Multi Vista Global Private Limited* (hereinafter referred to as ***'Demerged Company'***) proposes to transfer and vest its Real Estate Division to M/*s. Nellicherry Land & Properties Private Limited* (hereinafter referred to as ***'Resulting Company'***). The Scheme also involves the reduction and reorganization of the equity share capital of the Demerged Company.

2. The Demerged Company is a Private Limited Company, incorporated on 27.10.1992 under the Companies Act, 1956, having its Registered Office at Rajam Towers, III Floor, 45, KB Dasan Road, Teynampet, Chennai – 600 018. The Resulting Company is a Private Limited Company, incorporated on 10.02.2017 under the Companies Act, 2013, having its registered office at Rajam Towers, III Floor,

45 Kavinger Bharathidasan Road, Teynampet, Chennai – 600 018.

3. The main objects of the Demerged Company is to carry on the business of printers, publishers, lithographers, graphic typers, electro typers, block makers, designers, advertising agents, development contractors, draftsman hoarders, etc. The details of the main objects are set out in the Memorandum of Association of the Demerged Company. The main objects of the Resulting Company is to acquire by purchase, lease, exchange, hire or otherwise, lands and properties of any tenure and / or any interest in the same for the purpose of constructing / developing the same into information / software Technology parks, townships etc. The details of the main objects are set out in the Memorandum of Association of the Resulting Company.

4. The Board of Directors of the Petitioner Companies vide their Resolution(s) dated 14.11.2017

have approved the Scheme of Arrangement (Demerger) (hereinafter referred to as ***'Scheme'***). The other necessary requirements have also been fulfilled as per the Order dated 20.08.2018 passed by this Bench in CAs/143 & 144/CAA/2018.

5. The Counsel appearing for the Petitioner Companies submitted that the reasons and circumstances leading to and justifying the proposed Scheme of Arrangement (Demerger), which make it beneficial for both the Companies concerned, including their members and creditors. The proposed Scheme will enable the Demerged Company to create a new platform for independent growth of the Real Estate Business. The structure provides independence to the management in decisions regarding the use of their respective cash flows for dividends, capital expenditure or other reinvestment in their respective businesses. It will also facilitate expansion, consolidation or any other arrangement depending on

the opportunity in the future with similar business. Further, it enables for effective and efficient administration of management and control and would keep the Company in a better negotiating position with foreign collaborators / JV partners. The restructuring under this Scheme would enable focused business approach for the maximisation of benefits to all stakeholders and capitalize on the opportunity for growth.

6. The Clause 4 of the Scheme stipulates that with effect from the Appointed Date, the Demerged Undertaking of the Demerged Company shall, under the provisions of Section 230 to Section 232 of the 2013 Act, be transferred to and vested into the Resulting Company, without any further act, deed, matter or thing, as a *'going concern'*, so as to become, from the Appointed Date, the assets and liabilities of the Resulting Company.

7. The Demerged Company, in pursuance of the Order passed by this bench in CA/143/CAA/2018, has sent a notice to the Income Tax Authorities on 30.08.2018 about the proposed Scheme. In response to the said notice, the Assistant Commissioner of Income Tax (in short ***'ACIT'***) has raised his objection with regard to sanctioning of Scheme and filed a letter No. AAACM7613G/CG-4(1)/2018-19 dated 11.09.2018 before this Tribunal. In the said Letter, the ACIT has stated that the Demerged Company has arrears of demands, as set out herein below;

Sl. No.	**Assessment Year**	**Arrears Amount Due**
1.	2005 – 2006	Rs. 1,480/-
2.	2007 – 2008	Rs. 36,91,628/-
3.	2007 – 2008 (FBT Demand)	Rs. 1,61,120/-
4.	2010 – 2011	Rs. 37,950/-
5.	2012 – 2013	Rs. 1,01,680/-
6.	2013 – 2014	Rs. 2,55,580/-
	TOTAL	**Rs. 42,49,438/-**

8. In response to the said ACIT letter dated 11.09.2018, the Demerged Company has issued a reply to the ACIT on 13.10.2018 and has filed an

affidavit on 03.04.2019 before this Bench, by addressing the each arrears of demand raised by the ACIT independently.

9. In so far as the arrears of demand of Rs.1,480/- made in the Assessment year 2005 – 2006 is concerned, the Demerged Company, in para 5(a) of the Affidavit has stated that they have paid the said sum on 13.02.2019 and thus there is no demand in relation to the same. The copy of the receipt of the payment of the said sum is found at page 3 of the Typed set filed with the Affidavit.

10. In so far as the demand of arrears of Rs.36,91,628/- made in the Assessment year 2007 – 2008 is concerned, the Demerged Company in para 5(b) of the Affidavit has stated that the said sum has been erroneously calculated and the Demerged Company had a TDS credit to the extent of Rs.30,47,721.63/-, but only a sum of Rs.1,272/- has been considered as TDS by the department and thus

the extent of TDS has been considered short. Further, it has been contended that due to erroneous computation of tax payable by not considering the entire TDS amount, the department is also charging interest under Section 234B/234C of the Income Tax Act, 1961 (relating to Advance Tax), which otherwise would not have arisen. Therefore by giving effect to the actual TDS credit available for the Demerged Company, no amounts are due and payable for the said assessment year.

11. In so far as the arrears of demand of Rs.1,61,120/- made in the Assessment year 2007 – 2008 (FBT Demand) is concerned, the Demerged Company in para 5(c) of the Affidavit contended that the Deputy Commissioner of Income Tax has issued a notice under Section 115WE of the Income Tax Act, 1961 on 06.08.2008 demanding a net amount of Rs.1,61,120/-. The Demerged company through its consultants had given all details as called for and

thereafter the ACIT vide its order dated 30.12.2009 in relation to the Assessment of the value of FBT has clearly held that there arises no demand in relation to the same. The said order passed by the ACIT is found at pages 20 – 21 of the Typed set filed with the Affidavit.

12. In so far as the arrears of demand of Rs.37,950/- made in the Assessment year 2010 – 2011 is concerned, the Demerged Company in para 5(d) of the Affidaivt, had contended that they have duly paid the said sum and thus there is no demand in relation to the same. The copy of the receipt of the payment of the said sum is found at page 22 of the Typed set filed with the Affidavit.

13. In so far as the demand of Rs,1,01,680/- made in the Assessment year 2012 – 2013 is concerned, the Demerged Company in para 5(e) of the Affidavit, had contended that there has been an error in computation by the Income Tax Department. Further

the Demerged Company on 22.04.2015 has issued a letter to the Deputy Commissioner of Income Tax, to rectify the defect in calculating the TDS and the interest charged thereon under Sec.154 of the Income Tax Act and the same is pending without any reply from the Income Tax Department till date. The copy of the letter is found at page 23 of the Typed set filed with the Affidavit.

14. In so far as the arrears of demand of Rs.2,55,580/- made in the Assessment year 2012 - 2013 is concerned, the Demerged Company in para 5(f) of the Affidavit, had contended that an appeal has been preferred before the Commissioner of Income Tax(Appeals) – 8, against the Assessment Order dated 24.03.2016 and the same is pending. The copy of the Appeal filed in Form – 35 before the Commissioner of Income Tax (Appeals) is found at pages 24 - 25 of the Typed set filed with the Affidavit.

15. The Demerged Company in para 6 of the Affidavit has stated that if any liability arises in relation to the demands of the Income Tax Authorities, they are attributable only to the remaining undertaking of the Demerged Company. Further, the Certificate of the Chartered Accountants reflecting the Reserves and Surplus of the assets of the Remaining Undertaking upon the completion of the Demerger, is found at page 26 of the Typed set filed with the Affidavit.

16. It is pertinent to note here that the Demerged Company in para 7 of their Affidavit has stated that any Income Tax liabilities which arises in respect of the demands made for the aforementioned years shall be borne by the Remaining Undertaking, upon the Scheme coming into effect.

17. The statutory Auditors of the Demerged Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013, and

based upon their examination, they certified that the accounting treatment contained in the Scheme is in compliance with SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and circulars issued there under and all applicable Accounting Standards notified by the Central Government under the Companies Act, 2013.

18. The Regional Director, Chennai (in short, '**RD**') in his Affidavit dated 22.01.2019 submitted that Para 9 of part 2 of the Scheme protects the interest of the employees/staff of the demerged undertaking.

19. The RD has further submitted that as per the report of RoC, Chennai, the Demerged Company is regular in filing its statutory returns. However, in respect of the Resulting Company, the RD has stated that the Company was incorporated on 10.02.2017, a perusal of the MCA portal has revealed that the Resulting Company has filed the statutory returns within the stipulated time with ROC, Chennai.

Further, in respect of both the Companies, there is no prosecution filed, no complaints pending and no inspection/investigation has been conducted/pending. In result, the RD after examining the Scheme and the applications filed therewith has decided not to make any objection to the Scheme.

20. The Scheme will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. There is no requirement to modify the proposed Scheme. The Scheme of Arrangement (Demerger) appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under section 230 to 232 of the Companies Act, 2013.

21. Therefore, the Scheme annexed with Petition(s) stands sanctioned. The Scheme sanctioned shall be binding on all the Equity Shareholders, the Creditors

of the Demerged Company, the Resulting Company and on all their respective employees. The Scheme shall become effective from the Appointed Date viz., 01.04.2018.

22. However, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

23. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

24. The Petitioner Companies shall file with the concerned Registrar of Companies the certified copy of this Order within 30 days of the receipt of the order.

25. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

26. Thus, the Scheme stands sanctioned and CPs/292 & 293/CAA/2019 stand **disposed of**.

-SD-
(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

RAYMOND